

Pearson Edexcel

Level 3 GCE

Practice Paper 1A (Moderate) - Mark Scheme

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Mark Scheme

This mark scheme follows the structure and style of official Pearson Edexcel mark schemes. Marks should be applied positively, rewarding candidates for what they have shown they can do. Examiners should use the levels-based descriptors for extended-response questions and the indicative content as a guide to the kind of answers candidates may produce.

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

QUESTION 1 (Total: 30 marks)

Question 1(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- Costs that do not change with the level of output (1) in the short run (1)

OR

- Costs that must be paid regardless of output (1) such as rent or salaries (1)

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 1(b) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

Gross profit

----- x 100 (1)

Sales revenue

Application:

216 000 (1)

----- x 100 = 45.00% (1)

480 000 (1)

NB: if no working is shown award marks as below:

- If the answer given is 45.00% award 4 marks
- If the answer given is 45% award 3 marks
- If the answer given is 45 award 2 marks

(4)

Question 1(c) Marks: 4

AO breakdown: Knowledge/understanding 2, Application 1, Analysis 1

Knowledge/understanding:

- 1 mark for correctly showing supply and demand curves (1)
- 1 mark for correctly labelling axes price and quantity (1)

Application: 1 mark is available for showing a leftward shift of the supply curve (1)

Analysis: 1 mark is available for showing original and new equilibrium and consequences on the axes - higher price, lower quantity (1)

[Diagram should show: D curve, S1 shifting left to S2, new equilibrium with $P_2 > P_1$ and $Q_2 < Q_1$]

(4)

Question 1(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- Retained profit is the profit kept by a business after dividends and other distributions
- BAKE-IT Ltd is a small artisan bakery, so the level of retained profit available may be limited

- Using retained profit to finance expansion means there is less money available to distribute as dividends, which may upset shareholders or investors
- Retained profit cannot be used for very large investment projects, as the amount of finance available will be limited by past profitability
- Reliance on retained profit may slow the rate of expansion compared with using external sources of finance, leading to lost opportunities
- In years where profits are low (such as when flour prices rise), retained profit may be insufficient to fund expansion
- However, retained profit does not need to be repaid with interest, unlike a bank loan, making it cheaper
- Retained profit does not require giving up ownership/control of the firm, unlike share capital
- For a small business like BAKE-IT Ltd, retained profit may be the most appropriate source of finance for small-scale expansion, even though it has these disadvantages

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 1(e) Marks: 12

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4

Indicative content:

- A small firm is typically defined as one with fewer than 50 employees or a relatively low turnover
- BAKE-IT Ltd, with 18 employees and 3 outlets, would fit this definition
- Small firms can offer a more personalised service, building closer relationships with customers - Sarah's bakery relies on local word-of-mouth advertising
- Small firms benefit from being able to respond quickly to changes in consumer demand or market conditions
- Owner-managed firms like BAKE-IT Ltd can pursue non-financial objectives more easily, such as Sarah's interest in handmade, local produce
- Small firms may benefit from operating in niche markets, where larger competitors are less interested in operating - the market for handmade premium baked goods
- Decision-making is often faster in small firms because there are fewer layers of management
- However, small firms cannot benefit fully from economies of scale, meaning average costs may be higher
- Small firms have limited access to finance, making expansion slower and more difficult - Sarah had to use retained profit to invest
- Small firms are more vulnerable to changes in costs (such as rising flour prices) because they cannot spread these costs across a larger output
- Small firms may struggle to attract and retain the most qualified staff because they cannot offer the same career progression as larger competitors

- Overall, while operating as a small firm offers important advantages in terms of flexibility and customer relationships, these need to be balanced against the financial and operational limitations

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 2 (Total: 30 marks)

Question 2(a) Marks: 2

AO breakdown: Knowledge / understanding 2

Knowledge / understanding 2 marks for:

- Costs that change directly with the level of output (1) such as raw materials or wages of production staff (1)

NB any other suitable alternative. Do not award marks for examples alone. (2)

Question 2(b) Marks: 4

AO breakdown: Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for e.g. cash outflows are higher than cash inflows / net cash flow is negative (1)

Application: Up to 2 marks for contextualised answers, e.g.

- The net cash flow in March 2024 is forecast to be (£700) (1)
- Sales revenue has fallen from £8,800 in February to £7,200 in March (1)
- Customers may be on holiday or attending fewer fitness classes (1)

Analysis: 1 mark is available for linked development, e.g. the fall in revenue while costs (rent, wages, expenses) remain constant means net cash flow turns negative (1)

(4)

Question 2(c) Marks: 4

AO breakdown: Knowledge / understanding 1, Application 3

Knowledge / understanding 1 mark for:

Sales revenue

----- (1)

Price

Application:

£9,600 + £8,800 + £7,200 + £6,400 (1)

£8 (1)

OR

£32,000 (1)

£8 (1)

= 4,000.00 classes (1)

NB: if no working is shown award marks as below:

- If the answer given is 4,000.00 classes / customers / attendances award 4 marks
- If the answer given is 4,000 award 3 marks

(4)

Question 2(d) Marks: 8

AO breakdown: Knowledge / understanding 2, Application 2, Analysis 2, Evaluation 2

Indicative content:

- A demand curve shows the relationship between price and quantity demanded
- A substitute good is one that can be used in place of another - the new fitness studio offers similar classes
- When the price of a substitute falls, consumers are likely to switch from FitFlex to the cheaper alternative
- This means demand for FitFlex classes will fall at every price, leading to a leftward (inward) shift of the demand curve
- [Possible use of diagram showing leftward shift]
- At the existing price of £8, the quantity demanded will be lower than before the new competitor entered the market
- FitFlex may experience falling sales revenue and lower closing cash balances if the shift in demand is significant
- However, FitFlex's customers may have brand loyalty or value Maria's personal service, meaning the shift in demand may be smaller
- Maria could respond by differentiating her service, advertising more, or offering loyalty rewards to retain customers
- The size of the impact depends on the degree of substitutability between the services and the price-sensitivity of FitFlex's customers

Levels descriptor

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Question 2(e) Marks: 12**AO breakdown: Knowledge / understanding 2, Application 2, Analysis 4, Evaluation 4**

Indicative content:

- Profit motive is the desire to maximise the financial returns to the owner of a business
- Non-financial motives include ethical stance, social purpose, independence and home/community working
- Maria set up FitFlex Studios because she was tired of her long commute and felt she could provide a better service - this suggests independence is a strong motive
- Maria states that her 'main motivation' is to provide affordable, high-quality fitness for the local community - suggesting social/ethical motives are important
- However, Maria invested £15,000 of her own savings and took out a bank loan - financial returns must therefore be sufficient to repay the loan and recover her investment
- Maria charges £8 per class or £55 per month, indicating she has thought carefully about pricing to attract customers and generate revenue

- Maria's plan to advertise more and run promotions during quieter months shows that maintaining sales revenue (a financial objective) is important
- If profit were not important, Maria would not need to manage the cash flow forecast carefully - the fact she does shows financial sustainability matters
- Without sufficient profit, FitFlex would not be able to survive, and Maria's non-financial goals (helping the community) would not be achievable
- It is likely that for Maria, profit is a constraint rather than the sole objective - she needs enough profit to keep the business running, but does not appear to maximise profit at all costs
- Therefore, profit is important but may not be the most important motive for Maria; rather, non-financial motives appear to be at the heart of her business decisions

Levels descriptor

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Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well-developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

QUESTION 3 (Total: 20 marks)

Question 3 Marks: 20

AO breakdown: Knowledge / Understanding 4, Application 4, Analysis 6, Evaluation 6

Indicative content:

- Market failure occurs when the free market fails to allocate resources efficiently, leading to a loss of social welfare
- Smoking generates negative externalities, including healthcare costs and lost productivity, which are not reflected in the market price
- Indirect taxation on tobacco raises the price of cigarettes, internalising the external cost and reducing consumption towards the socially optimal level
- Higher prices discourage demand, particularly amongst price-sensitive consumers such as young people and lower-income smokers
- Revenue raised from taxation can be used to fund the NHS or smoking cessation services, further reducing the social impact of smoking
- The fact that smoking rates have continued to fall over time suggests that tobacco taxation has had some effect
- However, the demand for tobacco is highly inelastic for addicted smokers, meaning higher prices may not significantly reduce quantity demanded
- High taxes have encouraged a black market in illegal tobacco - 14% of UK cigarettes are now illegal, costing £2 billion per year in lost revenue
- Counterfeit cigarettes may contain more dangerous chemicals, worsening the health impact for consumers who switch
- Tobacco taxes are regressive - they take a higher proportion of income from lower-income households, raising concerns about equity
- Some critics argue that more emphasis should be placed on education and cessation support rather than taxation alone
- The effectiveness depends on whether tax revenue is actually used to address smoking-related health costs
- A conclusion may consider that taxation is a useful tool but is most effective when combined with other interventions (e.g. public health campaigns, age restrictions)

Levels descriptor

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.

Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.
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Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and, in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and may directly reference, interpret or analyse the information provided in any relevant stimulus.